The Millwall Football and Athletic Company (1985) PLC

Annual Report and Financial Statements

Year Ended

30 June 2020

Company Number 01924222



The Millwall Football and Athletic Company (1985) PLC

Company Information

Directors	J Berylson J G Berylson P Garston C Gonticas S A Kavanagh T J Keyse D Kouvaris R S Press
Company secretary	M Fairbrother
Registered number	01924222
Registered office	The Den Zampa Road London SE16 3LN
Independent auditor	BDO LLP 55 Baker Street London W1U 7EU
Bankers	Barclays Bank Plc Corinthian House 17 Lansdowne Road Croydon CR0 2BX
Solicitors	Lewis Silkin Windsor House 5 Chancery Lane Clifford's Inn Passage London EC4A 1BL

The Millwall Football and Athletic Company (1985) PLC

Contents

	Page
Strategic Report	1 - 6
Directors' Report	7 - 8
Directors' Responsibilities Statement	9
Independent Auditors' Report	10 - 12
Statement of Comprehensive Income	13
Statement of Financial Position	14
Statement of Changes in Equity	15
Notes to the Financial Statements	16 - 31

The Millwall Football and Athletic Company (1985) PLC

Strategic Report
For the Year Ended 30 June 2020

The directors present their strategic report together with the audited financial statements for the year ended 30 June 2020.

Principal activity

The company's principal activity is operation of a professional football club ("Millwall" or the "Club").

Business review

During the season under review, 2019/20, the third season after gaining promotion back to the Sky Bet Championship ("the Championship"), the second tier of English football, the Club enjoyed a much more successful season than in the 2019/20 season, finishing with 68 points, and securing an 8th place finish, which was a step forward from 2018/19 season where 44 points were secured on the way to a 21st position finish. Going into the penultimate round of matches, qualification for the play-offs was still achievable, and although disappointing to finish two points off the final play-off position, it demonstrates the step change improvement over the previous season.

As with all football clubs, the 2019/20 season has been one of major disruption caused by the COVID-19 pandemic. The season was suspended in March 2020, prior to a national lockdown to combat the rising number of cases. With the resumption of the season in June 2020, this allowed for the remaining nine fixtures to be played, with four of these completed before the end of June 2020. The remaining fixtures were completed in July 2020. Further details of the impact of COVID-19 is given below.

On 3 October 2020 Neil Harris stepped down from his role as manager of the Club together with his assistant, David Livermore. Neil Harris took over as manager in 2015 and during his time in charge oversaw two trips to Wembley, one promotion and two runs to the FA Cup Quarter-Finals and has also steadily re-established Millwall as a Championship club. His status as a Lions legend, both as its all-time leading goalscorer and now one of its most successful managers, is secure.

The Club completed a thorough recruitment process, carried out fully in accordance with EFL BAME regulations, and on 22 October appointed Gary Rowett, who has a successful record as a manager at Championship level, as the new manager of the Club. His previous management appointments at Championship clubs include Birmingham City, Derby County and Stoke City. At the point Gary was appointed the team were in 16th place in the Championship, and with their 15 points, were averaging 1.15 points per game, however since that time the average points per game increased to 1.61, which helped to contribute to the 8th place finish for the season.

In the FA Cup, the Club reached the 4th round, losing to Premier League Sheffield United. The Club was eliminated from the EFL Carabao Cup in Round 2 by Oxford United on penalties.

The number of senior players in the squad remains at a low number compared to other clubs in the Championship. The total number of players utilised was similar to the previous season, at 27 players (2018/19: 29). With the poor end to 2018/19 this impacted on season ticket sales going into the 2019/20 season, however for those games where crowds were allowed, average home league attendances were marginally higher than the previous year at 13,734 (2018/19: 13,635).

The philosophy of giving home grown players from the Club's Youth Academy the opportunity to be promoted into the first team continues to pay dividends. Of the 41 current contracted players, some 18 have come through the Club's Youth Academy. During the season 2 Academy players made their debut for the senior team and 2 others appeared on the substitutes bench. The Club continues to invest in its Youth Academy with a Category 2 status in the Elite Player Performance Plan scheme. More about the importance of the Youth Academy is set out under Prospects below.

Results

The statement of comprehensive income is set out on page 13.

Revenue for the year at £16.43m (2019 - £18.37m) is an decrease of 10.6% (2019 - 17.9% increase following promotion). The decrease versus the prior year has been driven by two factors. Firstly, the 2019 financial results include c£2.2m of FA Cup progression income following achievement of a quarter final place, and secondly, with the COVID-19 pandemic, this impacted upon operations considerably within the final quarter of the 2020 financial year. This is demonstrated through the 22.5% decrease in matchday income, from £5.6m in 2019 to £4.4m in 2020. The final five home matches of the 2019/20 season were delayed due to the UK Government lockdown, and when they recommenced these were held behind closed doors, significantly impacting on the income generation for these remaining fixtures, and was futher compounded by the final three home games being played after the year end. Central league awards also decreased from £10.0m, to £9.4m, reflecting both the FA Cup income in the previous year, as well as the impact on COVID-19 on the 2020 financial results. Despite the challenging conditions bought about by the pandemic, commercial revenue of £2.7m remained the same each year.

Total staff costs of £18.9m, represent a 11.9% increase over the prior year (2019 - £16.9m) reflecting the investment both into the playing squad, as well as the football management team that took place during the year. With the COVID-19 pandemic, given that most of these costs were already committed, the ability to reduce these during the latter stages of the year was minimal. Other expenses (excluding depreciation and amortisation) reduced from £6.3m to £5.7m, both as a result of reduction in activity with the onset of the pandemic, but also through close financial management during the earlier part of the year.

Despite these cost saving measures, the Company made a loss from operations of £9.8m compared to a prior year profit of £0.3m.

At 30 June 2020, the Company had net liabilities of £91.6m (2019 - net liabilities £81.9m).

The directors do not recommend payment of a dividend.

Prospects

Football
The principal objectives of the Company continue to be to consolidate the position of the Club as an established member of the Championship over the next few years and to build a squad and infrastructure to advance further in the longer term. The Club is committed to building and progressing year after year, both on and off the pitch. In light of the difficult second year back in the Championship in the 2018/19 season, directors and team management agreed upon changes to the playing squad involving the departure of 10 players and the recruitment of 6 new players and 3 loan players. This represented the most significant financial investment in new players in the history of the Club.

Prior to the COVID-19 pandemic, the quality and wealth of many of the clubs now playing in the Championship continued to rise, with an increasing number of clubs still in receipt of parachute payments from the Premier League. The impact of this is to increase both the value of transfer fees, and player salaries meaning that, despite the investment made by the Club, it continues not to match the level of salary costs of many clubs in the league. Since the onset of the pandemic, significant focus has been made by EFL to look further at sustainability, including discussions around introduction of salary caps. Given the stance of the Club and its Directors, we support all reasonable measures to maintain and reinforce sustainability within professional football, and continue to comply with the Profitability & Sustainability Rules of the EFL.

The Youth Academy continues to be key to the strategy of the Club and your directors regard this as a vital part of the future success of the Club. Under the direction of Scott Fitzgerald, it has over 160 players signed from the ages of 9 to 23. There are 18 full time and 40 part time staff who are responsible for the development of the players which consists of coaching, medical, analysis, sport science, strength and conditioning, nutrition and life skills. The training venue in Eltham has now become established as the home of the Academy with facilities complying with the high standard required by the FA. A further 4 Scholars gained professional contracts at the end of last season with Hayden Muller making his professional debut versus Huddersfield Town in July 2020. The Academy achieved Category 2 status again last season within the Elite Player Performance Plan process.

The Club is required to comply with the Profitability & Sustainability Rules (the Rules) of the EFL applicable to the Championship. In general, these permit a club to incur losses up to £39m over a 3 year period before any restrictions may be applied, so long as annual losses in excess of £5m are funded through equity. Currently the Club's level of defined losses is well within this limit and your directors are confident that the Club will continue to meet the requirements of the Rules. With these Rules in mind the directors have set budgets for all areas of income and costs with plans in place to monitor financial and team performance and to take such steps that are needed to achieve the best outcome for the year. The directors are aware of ongoing issues in respect of Profit and Sustainability rules compliance by other clubs that have been in the press. Your directors are committed to the current rules and ensuring they are complied with fully and fairly by all Championship clubs to provide all clubs with a sustainable future.

Revenue streams of the Company for the current year, excluding any cup game income, are expected to show a decrease on the previous year, reflecting the impact of the ongoing COVID-19 restrictions, and specifically not being able to host supporters inside the Den for matchdays. Although alternative income streams are being sought, these will only partially mitigate the lost income as a result of the government action taken. The Club is also taking active steps to reduce its overall cost basis, whilst still maintaining a professional football team able to compete in the EFL Championship, and therefore although some costs will decrease compared to the previous years, this again will not mitigate the lost income that the Club will suffer in the current year.

The team has started the 2020/21 season with the form that it ended the previous season. It has gained 17 points in the first 11 games up to 11 November, placing the team in 9th position; in the 2019/20 season the team had gained 18 points after 15 games. The Club was eliminated from the EFL Carabao Cup by Burnley of the Premier League in the 2nd round.

Other football related income
The results of the hard work of the Commercial Department, was beginning to show results prior to the COVID-19 pandemic. A number of new partners were introduced, including a new principal partner in Huski chocolate, as well as Theenergycheck.co.uk who became shirt sponsor and official energy broker for the Club, and Mansionbet.com who became the club's new betting partner. In addition, the Millwall business club was launched, providing networking opportunities for businesses within the Millwall family. With the improvement in team performance versus the 2018-19 season, this also resulted in an increased number of televised games, with five games broadcast live on Skysports, versus two in the previous season. This helped contribute to strong advertising revenues, and use of the LED perimeter advertising facilities.

During the year, the Club invested in a new ticketing platform, and although with the current COVID-19 pandemic, this is not currently being utilised, once supporters are allowed to return, it is hoped it will provide a simpler ticket purchasing process, and a much improved online ticketing solution. During the summer, the Club and its new ticket partner also implemented a social distanced seating plan for the stadium, which will allow for social bubbles to sit together and watch home matches safely and in a COVID secure way. This was part of a wider project to ensure that the stadium is safe for fans, including new turnstile installation, change of stadium layout to ensure social distancing can be maintained at all times, as well as a limit on capacities. It was planned to launch in September 2020 for a test event, prior to launch in October, however with the change in government regulation, this is all on hold at present, however as soon as we are able we want our supporters back at The Den, for safe, COVID secure, and socially distanced enjoyment in an outdoor venue.

The Den
Other incomes from the utilisation of the stadium on non-match days have been significantly impacted by the current pandemic. Work is underway to look at alternative usage for the stadium, which to date has included live streaming of games, both home and away. For home games, with the current restrictions we are permitted indoor hospitality however without view or access to the stadium. The perversion of these regulations and the constant change is a cause of significant disruption and uncertainty. For retail income, the club has recently launched a new retail website solution, which is intended to help improve stock availability and service and allow more fans to access club merchandise. At present all physical stores are closed due to the current restrictions, however the main club shop will reopen in a COVID secure way.

The Community
The Club continues to recognise the importance of the relationship with the diverse communities of South London and actively supports the work of Millwall Community Trust (MCT or Trust). The Club's commitment is reflected by two directors, Steve Kavanagh and Peter Garston, together with the Company' finance director, Mark Fairbrother and Commercial Director, Stuart Lock, acting as Trustees. The strength and depth of the relationship is also demonstrated both by financial support and by making Club facilities, assets and players available for the activities undertaken by MCT. The Club is rightly proud of its Community Trust and the incredible work it does, embedded within our local communities.

The MCT vision is to use the unique passion generated at Millwall to connect and inspire the Club's communities. This is achieved by using the inspiration of the Millwall spirit to improve the lives of people through engagement in sport. MCT delivers not just schools coaching and sports participation programmes but makes a significant contribution to community development, health improvement, education and employability, as well as managing facilities such as the Lions Centre and St Paul's Community Sports Ground for the benefit of the community.

The Trust aims to create a sustainable year-round community sport offering for the residents of Southwark and Lewisham. In 2019 -20 over twelve thousand residents have been engaged and benefitted by using the services provided by MCT, with support from the Club.

The Trust has a strategy of encouraging sports participation through positive partnerships. It is affiliated to The English Football League Trust and the Premier League. It has contracts with Housing Associations across the London Boroughs of Southwark and Lewisham, and delivers PL KICKS at a number of estate-based venues, supported by the Metropolitan Police and the Premier League Charitable Foundation. This year has seen the appointment of a Divert officer (independent of police adviser) funded by the home office, to work with young people that are in the risk of gang activities within the London Boroughs of Southwark and Lewisham.

With funding from the Premier League, MCT was able to deliver the PL Primary Stars programme in a number of local schools and the programme has become a key intervention within the school environment. MCT is currently delivering multi- sport provision in approx. 30 schools per week.

MCT has continued to deliver and develop further a number of acclaimed programmes for some of the more vulnerable people within our communities. Under the health improvement banner, MCT has continued its highly successful Walking Sports for Older People with dementia, Alzheimer's disease or other life-limiting conditions, with excellent engagement numbers. MCT has expanded its Employability offer, working with the Royal British Legion to support former service personnel into employment and qualifications.

The education strand has seen the Trust working with young people that have been subject to exclusion from the education system. Work is undertaken supporting these young people, with qualifications, work placements and help into further education.

MCT runs a college POST 16 education and football programme out of the Lions Centre, with 60 students attending daily, combining education with football coaching. The students over the year will study for BTEC level 3 in sports coaching qualification and from this programme some of these students will gain employment with MCT.

With funding from the City Bridge Trust, MCT has delivered an Independent Living Programme for teenagers with disabilities and learning difficulties. This programme has been very successful with its impact and outcomes results, the project targets small cohorts of young people on the verge of school exclusion to help them ready themselves for adult life and provides a mentoring element to support this.

MCT is now registered with the Women's Football Association to operate Millwall Lionesses football team. This football team plays in the Eastern Region Women's League, playing at St Paul's Sport Ground and, together with a youth football team also operated by MCT, provides young women and girls in the area the opportunity to play competitive football.

Communication
The Club regards communication with all supporters, business partners and staff as being of central importance. The Club appointed Shona Groves as Supporter Liaison Officer during the year, to act as a facilitator for day to day communication with supporters. In addition, regular meetings and forums take place with all levels of the Club's supporters and partners.

Finance
The Company continues to be funded by its principal ultimate shareholder, Chestnut Hill Ventures LLC ("CHV") and by its directors through its parent company Millwall Holdings Plc. In Millwall Holdings Plc, the existing facility is £20m (CHV Facility) with £10m outstanding at the year end. Additional funding requirements during the year have been met by CHV and certain directors subscribing for new B ordinary shares of £1 each at par in the parent company. During the year 7,975,000 B ordinary shares were issued for cash raising £7.95m of funds in Millwall Holdings Plc. Of these £7.7m were advanced to the Company during the year,

The directors are of the view that, together with the further arrangements referred to in note 2 to the financial statements, ongoing equity investment and extended loan facilities from CHV and the directors to the wider group as well as the cost management procedures underway as a response to COVID-19, provides the Company with sufficient access to working capital to fund the operations of the Company over the next few years.

COVID-19

The financial results for the year ending June 30 2020 have been significantly impacted by the COVID-19 pandemic. With competitive football suspended in March 2020, this led to a four month delay in completion of the season, as part of the wider lockdown of the UK economy in response to the growing pandemic levels seen both in the United Kingdom but around Europe.

During the period of suspended matches, the Company took advantage of the Coronavirus Job Retention Scheme from the UK Government, to protect as many roles as possible whilst there was no income coming in. In addition, the decision was taken by the board to cover any shortfall in the furlough grant claim during this time. Despite this since the year end, with continuing restrictions placed on our operations and limiting our ability to operate commercially, a number of staff have been made redundant, which is a cruel reminder of the impact of this pandemic both on the nation's health, but also on the economy.

Principal risks and uncertainties

In common with many football clubs outside the FA Premier League the main business risk is the maintenance of a positive cash flow, bearing in mind the uncertainty of turnover and the high cost of maintaining a playing squad on which the success of the Company's business is largely dependent. In order to achieve a positive cash flow there is the constant requirement to raise new finance and refinance existing facilities which, in turn, requires the continuing support of existing providers of those facilities.

A significant amount of the Club's revenue derives from ticket sales. Income generated from gate receipts is highly dependent on the level of attendance at matches. The current COVID-19 pandemic has highlighted the reliance of all football clubs on matchday revenue, and also cost control measures can and have been implemented, these cannot mitigate the lost income seen at present.

Some income streams of the Club (such as television rights and related income) are dependent on third party contracts and arrangements to which the Club is not a party and over which the Club can exercise no or little influence.

As part of its normal activities, the Club deals in the trading of player registrations and there is always a risk of significant and lasting injuries to players that may impair player values. Players aged 24 years or older are free to move between clubs once their contract has come to an end and directors monitor expiry dates carefully with a view to renewing contracts or realising value.
Relevant business risks are discussed during Board meetings so that, where a material exposure is identified, mitigating action can be taken.

Going concern

The Board has considered the adoption of the going concern basis of preparation of the financial statements and the facilities currently available to the Company and its wider group, as mentioned in note 2, and has concluded that the basis has been appropriately adopted in the accounts.

There is a £20m group facility in place from CHV that was drawn to £10m as at the year end, which does not fall due for repayment until 01 July 2022. Your directors believe this, in conjunction with the ongoing support of the Company's ultimate principal shareholder (CHV), provides sufficient working capital for the current needs of the Company for the foreseeable future. However, in light of the potential impacts of COVID-19 and the various potential scenarios some of which would require the Club to secure additional funding which is not yet guaranteed, the directors have identified a material uncertainty that may cast significant doubt over the Club's ability to continue as a going concern for the foreseeable future.

With the current COVID-19 pandemic, this has significantly impacted matchday revenue, as well as commercial and other income. At the time of writing this, with crowds not allowed in stadiums, this represents a significant challenge for all sport, with many Club's at the heart of their communities struggling to survive. Although the Club is in a stronger position versus some of its peers, it is not immune to these financial challenges, and so we urge the government to reconsider its approach to football and sport in general in light of support given to the arts and culture. We are as important a pillar of UK society and as sport plays such an vital part of both the community engagement, physical wellbeing and enjoyment as well as being a significant contributor to employment and the government's tax revenues, our industry needs to be treated with the same sort of consideration as other cultural institutions who have been seen as more important by the Government.

The Board would like to thank players, management and staff for their continued hard work during the past year. The support of shareholders, fans and everyone connected with the Club has, as ever, been tremendous and to all of them and more so during these times, the Board extends its thanks.

On behalf of the board

S A Kavanagh
Director
19 December 2020

The Millwall Football and Athletic Company (1985) PLC

Directors' Report
For the Year Ended 30 June 2020

The directors present their report together with the audited financial statements for the year ended 30 June 2020.

Results and dividends

The loss for the year, after taxation, amounted to £9,687,000 (2019 - profit £297,000).

The directors do not recommend a payment of a dividend (2019 - £Nil).

Directors

The directors who served during the year were:

J Berylson
J G Berylson
P Garston
C Gonticas
S A Kavanagh
T J Keyse
D Kouvaris
R S Press

Political contributions

During the year, the company made charitable contributions totaling £18,548 (2019 - £Nil). The company made no political donations.

Market value of land and buildings

Given the specialised nature of the company's property interests, the directors do not consider that, without incurring the expense of a specialist third party professional valuer, there is a readily ascertainable market value for the company's properties, which are carried in the amounts at cost less depreciation. However, based on information available to the company the board do not believe to be any indication of impairment to carrying value.

Payment of creditors

The company's policy is to settle agreed amounts outstanding to creditors within sixty days. This policy is made known to staff who handle payments to suppliers and is made known to suppliers on request. Trade creditors of the company at the period end represented 64 days purchases (2019 - 62).

Employee involvement

The company operates employment policies, which place emphasis upon employee involvement where possible. The company practices equality of employment opportunity irrespective of sex, race, colour, marital status, sexuality or ethnic or national origins. It is the company's policy to offer equal opportunity to disabled persons wherever appropriate, having regard to their aptitudes and abilities.

Other disclosures

Disclosure of exposure to financial risks, post balance sheet events and future developments are included in the strategic report on pages 1 to 6.

Disclosure of information to auditors

Each of the persons who are directors at the time when this directors' report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware; and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

The auditors, BDO LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board on 19 December 2020. and signed on its behalf.

S A Kavanagh
Director

Directors' Responsibilities Statement
For the Year Ended 30 June 2020

The directors are responsible for preparing the strategic report, the directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Millwall Football and Athletic Company (1985) PLC

Independent Auditors' Report to the Members of The Millwall Football and Athletic Company (1985) PLC

Opinion

We have audited the financial statements of The Millwall Football and Athletic Company (1985) PLC "the company") for the year ended 30 June 2020 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to note 2 to the company's financial statements which describes how the ability of the company to continue as a going concern is affected by the potential impacts of the COVID-19 pandemic. The club is funded by its ultimate principal shareholder and various forecast scenarios indicate that the company will be required to secure additional funding that is not guaranteed. These events indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Independent Auditors' Report to the Members of The Millwall Football and Athletic Company (1985) PLC (continued)

Other information

The directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and director's report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion;

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Independent Auditors' Report to the Members of The Millwall Football and Athletic Company (1985) PLC (continued)

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located at the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

BDO LLP..

Ian Clayden (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London
United Kingdom
20 December 2020

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

The Millwall Football and Athletic Company (1985) PLC

Statement of Comprehensive Income
For the Year Ended 30 June 2020

	Note	2020 £000	2019 £000
Turnover	4	16,427	18,366
Staff costs	6	(18,934)	(16,914)
Amortisation of players' registrations	9	(2,180)	(1,277)
Depreciation	10	(380)	(453)
Other operating income		918	1,522
Profit on disposal of players' registrations		76	5,414
Other administrative expenses		(5,722)	(6,309)
Operating (loss)/profit	5	(9,795)	349
Interest receivable and similar income		263	118
Interest payable and similar expenses		(270)	(170)
(Loss)/profit before tax		(9,802)	297
Tax on (loss)/profit	8	115	-
(Loss)/profit and total comprehensive (loss)/profit for the financial year		(9,687)	297
Other comprehensive income for the year			
Total comprehensive income for the year		(9,687)	297

All amounts relate to continuing activities.

There were no recognised gains and losses for 2020 or 2019 other than those included in the statement of comprehensive income.

The notes on pages 16 to 31 form part of these financial statements.

The Millwall Football and Athletic Company (1985) PLC

Registered number: 01924222

Statement of Financial Position
As at 30 June 2020

	Note	2020 £000	2020 £000	2019 £000	2019 £000
Fixed assets					
Intangible assets	9		**3,204**		2,576
Tangible assets	10		**14,208**		14,462
			17,412		17,038
Stocks	11	**39**		49	
Debtors: amounts falling due after more than one year	12	**-**		2,188	
Debtors: amounts falling due within one year	12	**4,084**		2,781	
Cash at bank and in hand		**636**		663	
		4,759		5,681	
Creditors: amounts falling due within one year	13	**(111,079)**		(100,776)	
Net current liabilities			**(106,320)**		(95,095)
Total assets less current liabilities			**(88,908)**		(78,057)
Creditors: amounts falling due after more than one year	14		**(2,696)**		(3,860)
Net liabilities			**(91,604)**		(81,917)
Capital and reserves					
Called up share capital	16		**400**		400
Share premium account	17		**3**		3
Profit and loss account	17		**(92,007)**		(82,320)
Total equity			**(91,604)**		(81,917)

The financial statements were approved and authorised for issue by the board and were signed on its behalf on 19 December 2020.

S A Kavanagh
Director

The notes on pages 16 to 31 form part of these financial statements.

The Millwall Football and Athletic Company (1985) PLC

Statement of Changes in Equity
For the Year Ended 30 June 2020

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2019	400	3	(82,320)	(81,917)
Comprehensive loss for the year				
Loss for the year	-	-	(9,687)	(9,687)
At 30 June 2020	400	3	(92,007)	(91,604)

Statement of Changes in Equity
For the Year Ended 30 June 2019

	Called up share capital	Share premium account	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2018	400	3	(82,617)	(82,214)
Comprehensive income for the year				
Profit for the year	-	-	297	297
At 30 June 2019	400	3	(82,320)	(81,917)

The notes on pages 16 to 31 form part of these financial statements.

Notes to the Financial Statements
For the Year Ended 30 June 2020

1. General information

The Millwall Football and Athletic Company (1985) PLC is a public company limited by shares and incorporated in England and Wales under the Companies Act 2006. The address of the registered office is given on the company information page and the nature of the company's operations and its principal activities are set out in the strategic report.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The presentational and functional currency of these financial statements is GBP. Values are rounded to the nearest £'000.

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemptions

The company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 11 Financial Instruments paragraphs 11.42, 11.44 to 11.45, 11.47, 11.48(a)(iii), 11.48(a)(iv), 11.48(b) and 11.48(c);
- the requirements of Section 12 Other Financial Instruments paragraphs 12.26 to 12.27, 12.29(a), 12.29(b) and 12.29A;
- the requirements of Section 26 Share-based Payment paragraphs 26.18(b), 26.19 to 26.21 and 26.23;
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of Millwall Holdings PLC as at 30 June 2020 and these financial statements may be obtained from the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

2. Accounting policies (continued)

2.3 Going concern

In assessing the appropriateness of the going concern assumption, the directors have produced detailed cash flow forecasts which extend to the end of the 2021/2022 football season. However, it is acknowledged that the global and UK outbreak of COVID-19 has had a profound impact on the company in a number of respects.

With the temporary cessation of the 2019/20 football season during the pandemic, as noted in the strategic review, this had a significant impact on the club's match day income generation. As such the director's undertook a number of proactive measures to partially mitigate this impact, both through cost control mechanisms and utilisation of the UK Government Job Retention Scheme for a number of its employees, With the resumption of competitive football in June, this has allowed the club to fulfil its fixtures, and therefore allowed EFL to continue to deliver the league, and therefore the associated central revenues. Since the resumption of football in June, these have been played behind closed doors, and although the club was participating in pilot schemes to allow safe, and socially distanced spectators in, this was further delayed by a second social lock-down in November 2020. At the time of writing we are in the process of a phased reintroduction of fans to the stadium. Despite this the club has been able to look at secondary income generation through live match streaming through ifollow, as well as online commercial activity, which again has partially mitigated the impact of COVID-19.

In light of the potential impacts of COVID-19 and the various potential scenarios some of which would require the club to secure additional shareholder funding which is not yet guaranteed, the directors have identified a material uncertainty that may cast significant doubt over the club's ability to continue as a going concern for the foreseeable future.

However, with both the resumption of EFL activities, and actions taken by the Directors in regards to significant financial and operational adjustments, it is the opinion of the directors that the club will remain solvent for the foreseeable future. As such, a gradual return to the club's previous financial position is expected in the medium/long term.

The directors continually monitor the financial position of the company and have prepared the financial statements on a going concern basis, having had regard to:

· cash flow projections prepared to 30 June 2021, and expected cash flow forecasts for the year thereafter, including the effect of player trading; and

· the continuing provision of facilities to the wider group from Chestnut Hill Ventures LLC ("CHV"), a company controlled by the Chairman, John G Berylson. The repayment date on the existing £10 million loan facility was extended during the year to 1 July 2022. CHV has also undertaken to provide the wider group with further support, if necessary, for at least the next 12 months, as it has done during the current and previous financial years.

While there will always remain inherent uncertainty, the directors remain confident that they will be able to manage the company's finances and operations so as to achieve the forecasted cash flows and, with the continued support of CHV, consider that it is appropriate to draw up the financial statements on a going concern basis.

The financial statements do not include any adjustments that would result if the going concern basis of preparation were to become no longer appropriate.

2. Accounting policies (continued)

2.4 Turnover

Turnover represents income receivable from the company's principal activities excluding transfer fees and value added tax.

Turnover is analysed between three categories of income streams: Match Day, Central League Awards and Commercial.

Match Day
Match Day turnover represents income receivable from all match day activities from Millwall games at The Den, together with the share of gate receipts from cup games not played at The Den. The share of gate receipts payable to the other participating club for domestic cup matches played at The Den is treated as a reduction in turnover. Season ticket revenue is recognised over the period of the football season as home matches are played.

Central League Awards
Central League Award revenue comprises the Basic Award and the Solidarity Award from the Football League, along with grant income for the Academy, prize money earned from cup competitions and income from other membership organisations. Awards are recognised over the financial period to which they relate once the revenue can be measured reliably.

Commercial
Commercial revenue comprises income receivable through sponsorship, shop revenue, use of the conference and catering facilities at The Den on non-match days and sundry other income. Sponsorship contracts are recognised over the duration of the contract, either on a straight line basis, or over the period of the football season, as appropriate based on the terms of the contract. Catering revenues are recognised on an earned basis. Revenue from sale of branded products is recognised at the point of dispatch when significant risks and rewards of ownership is deemed to have been transferred to the buyer.

2.5 Deferred income

All income received in advance of football activities, such as season ticket revenue, league awards, advertising, sponsorship and broadcasting revenues are treated as deferred income and released to income over the period or number of matches to which they relate.

2. Accounting policies (continued)

2.6 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, as follows:.

Depreciation is provided on the following basis:

Long leasehold premises	- 1% per annum
Fixtures and fittings	- 10%-33% per annum
Pitch renovation	- over the next season
Motor vehicles	- 25% per annum
Leasehold improvement	- Over the life of the lease

Residual value is initially calculated on prices prevailing at the date of acquisition. Residual value is reviewed in each financial period and any changes to initial estimates are reflected in the period of change.

When a significant part of property, plant and equipment is required to be replaced at intervals, the company derecognises the replaced part, and recognises the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in the statement of comprehensive income as incurred.

2.7 Impairment of non-financial assets (excluding inventories)

Non-financial assets are subject to impairment tests whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Where the carrying value of an asset exceeds its recoverable amount (i.e. the higher of value in use and fair value less costs to sell), the asset is written down accordingly.

Impairment charges are included in the other expenses line item in the consolidated statement of comprehensive income.

2.8 Stocks

Stocks are stated at the lower of cost and net realisable value. Net realisable value is based on estimated selling price, less further costs expected to be incurred to disposal. Provision is made for obsolete, slow-moving or defective items where appropriate.

2.9 Debtors

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2. Accounting policies (continued)

2.10 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2.11 Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.12 Pension costs and other post retirement benefits

For defined contributions schemes, the amount charged to the statement of comprehensive income in respect of pension costs is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the statement of financial position.

Where the company participates in a defined benefit plan, which is a multi-employer plan that is accounted for as if the plan were a defined contribution plan, and the company has entered into an agreement with the multi-employer plan that determines how the company will fund a deficit, the company recognises a liability for the contributions payable that arise from the agreement and a resulting expense in the statement of comprehensive income.

2.13 Leases

Assets held under finance leases, which confer rights and obligations similar to those attached to owned assets, are capitalised as tangible fixed assets and are depreciated over the shorter of the lease terms and their useful lives. The capital elements of the future lease obligations are recorded as liabilities, while the interest elements are charged to profit and loss over the period of the leases to produce a constant rate of charge on the balance of capital repayments outstanding. Hire purchase transactions are dealt with similarly, except that assets are depreciated over their useful lives.

Rentals under operating leases are charged on a straight-line basis over the lease term, even if the payments are not made on such a basis. Benefits received and receivable as an incentive to sign an operating lease are similarly spread on a straight line basis over the lease term. Lease incentives on leases entered into before the date of transition to FRS 102 (1 July 2014) continue to be charged over the shorter period to the first market rent review rather than the term of the lease.

2.14 Grants

Grants relating to tangible fixed assets are treated as deferred income and released to the statement of comprehensive income over the expected useful lives of the assets concerned. Other grants are credited to profit and loss as the related expenditure is incurred.

2. Accounting policies (continued)

2.15 Players' registrations

The costs associated with the acquisition of players' registrations are initially recorded at fair value of the consideration payable at the date of acquisition as intangible fixed assets. These costs are fully amortised over the period of the respective players' contracts.

For the purposes of impairment reviews, acquired players' registrations are classified within the single football club cash-generating unit until the point at which it is made clear that the player is no longer an active member of the playing squad which is typically because either the player is out of favour with the team, or the player is permanently injured. In these circumstances the carrying value of the player's registration is reviewed against a measurable net realisable value.

The measurement of the registration is the lower of (a) fair value (less costs to sell) and (b) carrying value. In situations where a player is permanently injured, fair value is considered to be expected insurance recovery amount. Amortisation of the asset is suspended at the time of reclassification, although impairment charges are made if applicable.

2.16 Signing on fees

Signing on fees are charged, on a straight line basis, to the statement of comprehensive income over the period of the player's contract. Prepayments/accruals arising at each period end are included within prepayments and accrued income or accruals within current assets or current liabilities, as appropriate. Where a player's registration is transferred, any signing on fee payable in respect of future periods are charged against the profit/(loss) on disposal of players' registrations in the period in which the disposal is recognised.

2.17 *Transfer fees*

Transfer fees receivable are recognised in the period in which the registration is transferred and any profit or loss arising is dealt with in the statement of comprehensive income. Contingent transfer fees receivable are recognised once the contingent conditions become probable which is usually when they have been met.

2.18 Taxation and deferred tax

Corporation tax payable is provided on taxable profits at the current rate.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date except that the recognition of deferred tax assets is limited to the extent that the company anticipates to make sufficient taxable profits in the future to absorb the reversal of the underlying timing differences.

Deferred tax balances are not discounted.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the company's accounting policies, which are described above and on the previous page, the directors are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revisions affects both the current and future periods

In preparing these financial statements, the directors have made the following judgements:

- Useful lives of intangible assets

  Intangible assets are amortised over the length of the players' contract which is deemed to be their useful lives and management's estimates as to their continuing usefulness to the football side.

- Useful lives and residual values of property, plant and equipment

  Property, plant and equipment are depreciated to their residual values over their useful lives. Useful lives are based on estimates of the period that the assets will generate revenue, which are periodically reviewed for continued appropriateness.

4. Turnover

An analysis of turnover by class of business is as follows:

	2020 £000	2019 £000
Match Day	**4,377**	5,648
Central League Awards	**9,388**	10,049
Commercial	**2,662**	2,669
	16,427	18,366

All turnover arose within the United Kingdom.

5. Operating (loss)/profit

The operating (loss)/profit is stated after charging/(crediting):

	2020 £000	2019 £000
Depreciation of tangible fixed assets - owned assets	380	453
Amortisation of grant	(81)	(81)
Amortisation of proceeds on sale of training ground (note 15)	(63)	(63)
Operating lease rentals - land and buildings	371	399
Operating lease rentals - other	47	103
Auditors remuneration		
- audit of company financial statements	35	35
- taxation services	11	11
- other services	2	-
Amortisation of players' registrations	2,180	1,277
Profit on sale of player's registrations	(76)	(5,414)
Staff furlough income	(760)	-

Other operating income comprises loan fee income, staff furlough income and other income received by the club not considered to be revenue.

6. Employees

Staff costs, including directors' remuneration, were as follows:

	2020 £000	2019 £000
Wages and salaries	16,899	15,041
Social security costs	1,820	1,759
Cost of defined contribution scheme	215	114
	18,934	16,914

6. Employees (continued)

The average monthly number of employees, including the directors, during the year was as follows:

	2020 No.	2019 No.
Football team management	38	35
Administration and ground staff	55	54
Players (including Academy)	58	57
	151	146

In addition, the company employs, on average, a further 90 (2019 - 130) temporary staff on match days.

7. Directors' remuneration

	2020 £000	2019 £000
Directors' emoluments	300	300
Pension costs	12	12
	312	312

Payments to money purchase pension schemes were made in respect of 1 director (2019 - 1). The remuneration of the highest paid director was £312,000 (2019 - £312,000) including £12,000 (2019 - £12,000) of pension contributions.

The company's key management personnel are considered to be its directors.

8. Taxation

	2020 £000	2019 £000
Corporation tax		
Current tax on profits for the year	(115)	-
Total current tax	(115)	-
Taxation on (loss)/profit on ordinary activities	(115)	-

8. Taxation (continued)

Factors affecting tax charge for the year

The tax assessed for the year is higher than (2019 - lower than) the standard rate of corporation tax in the UK of 19% (2019 - 19%). The differences are explained below:

	2020 £000	2019 £000
(Loss)/profit on ordinary activities before tax	(9,802)	297
(Loss)/profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 19% (2019 - 19%)	(1,862)	56
Effects of:		
Expenses and income not deductible or taxable for tax purposes	27	33
Utilisation of losses brought forward	-	(161)
Unutilised losses carried forward	1,776	-
Depreciation in excess of capital allowance	59	72
Adjustment to tax charge in respect to previous periods	(115)	-
Total tax charge/(credit) for the year	(115)	-

Factors that may affect future tax charges

A deferred taxation asset has not been recognised in respect of trading tax losses totaling £87,770,473 (2019 - £78,370,473) given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £16,676,390 (2019 - £13,322,980).

A deferred taxation asset has not been recognised in respect of £8,305,882 (2019 - £7,956,000) of unclaimed capital allowances given the inherent uncertainty of future profits. The unprovided deferred tax asset is calculated at £1,578,118 (2019 - £1,353,000).

9. Intangible assets

	Players' registrations £000
Cost	
At 1 July 2019	4,764
Additions	2,812
Disposals	(567)
At 30 June 2020	7,009
Amortisation	
At 1 July 2019	2,188
Charge for the year	2,180
On disposals	(563)
At 30 June 2020	3,805
Net book value	
At 30 June 2020	3,204
At 30 June 2019	2,576

10. Tangible fixed assets

	Long leasehold premises £000	Fixtures, fittings and equipment £000	Leasehold Improvements £000	Motor vehicles £000	Total £000
Cost or valuation					
At 1 July 2019	17,629	5,349	311	42	23,331
Additions	-	118	8	-	126
At 30 June 2020	17,629	5,467	319	42	23,457
Depreciation					
At 1 July 2019	4,606	4,152	69	42	8,869
Charge for the year on owned assets	176	169	35	-	380
At 30 June 2020	4,782	4,321	104	42	9,249
Net book value					
At 30 June 2020	12,847	1,146	215	-	14,208
At 30 June 2019	13,023	1,197	242	-	14,462

The amounts classified as long leasehold premises represent costs associated with the building of football stadium at The Den.

The net carrying value of assets held under finance lease is £265,488 (2019 - £299,000).

11. Stocks

	2020 £000	2019 £000
Goods for resale	39	49

Goods for resale include an amount of £39,000 (2019 - £49,000) carried at a fair value less costs to sell.

12. Debtors

	2020 £000	2019 £000
Due after more than one year		
Transfer fees receivable	-	2,188
	-	2,188

	2020 £000	2019 £000
Due within one year		
Trade debtors	**1,066**	816
Transfer fees receivable	**2,451**	1,250
Other debtors	**247**	-
Prepayments and accrued income	**320**	715
	4,084	2,781

13. Creditors: amounts falling due within one year

	2020 £000	2019 £000
Trade creditors	**3,156**	3,079
Taxation and social security	**3,144**	969
Amounts relating to cumulative redeemable preference shares	**55**	55
Other creditors	**108**	126
Accruals and deferred income	**3,639**	3,274
Amounts owed to immediate parent company	**100,977**	93,273
	111,079	100,776

Included within accruals and deferred income is an amount of £2,143,000 (2019 - £1,998,000) in relation to amounts received in advance, in respect of season tickets, league awards, executive boxes, membership, advertising and sponsorship relating to the following year.

Under their terms, the 5% cumulative redeemable preference shares of £1 each should have been redeemed by 4 March 1998, but the holders have not taken up their rights of redemption. The preference shares carry no voting rights and on a winding up are entitled to a repayment of the amount paid up plus any dividends due.

The preference shareholders have waived their entitlement to their dividends in respect of the year under review together with the arrears of the preference dividends.

The amount due to the immediate parent company is interest free, unsecured and has no fixed terms of repayment. Net drawdowns totaling £7,704,000 (2019 - £2,346,000) were made during the year.

14. Creditors: amounts falling due after more than one year

	2020 £000	2019 £000
Other creditors	366	1,330
Accruals	363	419
Deferred income - see note 15	1,967	2,111
	2,696	3,860

15. Deferred income

	2020 £000	2019 £000
Grants received in respect of the long leasehold premises and other fixtures and fittings	1,717	1,798
Unamortised proceeds from the sale of the Training Ground in excess of market value which is being amortised on a straight line basis over 20 years to 2025	250	313
	1,967	2,111

16. Share capital

	2020 £000	2019 £000
Allotted, called up and fully paid		
400,000 ordinary shares of £1 each	400	400

17. Reserves

The company's capital and reserves are as follows:

Called up share capital

Called up share capital represents the nominal value of the shares issued.

Profit and loss account

The profit and loss account represents cumulative profits or losses, net of dividends paid and other adjustments.

18. Financial commitments

(a) *Non-cancelable operating leases*

Commitments under non-cancelable operating leases are as follows;

	Land and Buildings 2020 £000	Other 2020 £000	Total 2020 £000	Land and Buildings 2019 £000	Other 2019 £000	Total 2019 £000
Minimum lease payments due:						
Within one year	368	47	415	368	42	410
In two to five years	1,533	9	1,542	1,533	37	1,570
After five years	1,692	-	1,692	2,082	-	2,082
	3,593	56	3,649	3,983	79	4,062

(b) *Finance lease*

In the prior year, the club has entered into agreements to lease a number of assets. Such assets are generally classified as finance leases as the rental period amounts to the estimated useful economic life of the assets concerned and often the club has the right to purchase the assets outright at the end of the minimum lease term by paying a nominal amount.

Future lease payments are due as follows;

	Minimum Lease Payments 2020 £000	Interest 2020 £000	Present Value 2020 £000
Minimum lease payments due:			
Within one year	134	13	121
In two to five years	7	1	6
	141	14	127

(c) *Pensions*

The club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

18. Financial commitments (continued)

The last actuarial valuation was carried out at 31 August 2018. The key assumptions used to calculate the deficit at the 31 August 2018 actuarial valuation are:

Discount Rate	3.6% p.a. until 2021, 2.5% p.a. for the following 10 years and 1.5% p.a. thereafter.
RPI inflation:	3.3% p.a.
Pension Increases:	3.7% p.a.
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS S2PMA / S2PFA CMI_2016 1.5%

The club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the scheme.

The results of this actuarial valuation were rolled forward to 30 June 2019 when the club's notional share of the deficit, calculated using the actuarial valuation assumptions, was £230,000 (2019 - £278,000). This resulted in a charge of £Nil (2019 - £Nil) being made to profit and loss in the current year.

The club currently has 1 employee who is a member of the scheme (2019 - 1) and pays total contributions of £49,575 p.a. which increases at 5.0% p.a. Based on the actuarial valuation assumptions detailed above, these contributions will be sufficient to pay off the club's share of the deficit by 31 May 2026.

Under the terms and conditions of the multi-employer plan the entity cannot be liable to the plan for other entities' obligations.

Certain other employees of the company, except for football players who are responsible for their own pension arrangements, are eligible to be members of defined contribution schemes. The assets of any schemes are held in funds separate from the company.

(d) Transfer fees payable/receivable

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be receivable/payable by the company if conditions as to future team selection are met. The maximum that could be receivable is £280,000 (2019 - £250,000). The maximum that could be payable is £3,195,000 (2019 - £950,000). These amounts have not been provided for in the financial statements. These amounts do not include various payments or receipts that are determinable only on circumstances which are distant or outside the direct control of the parties to the contract and the player in question.

19. Related party transactions

The company has taken advantage of the exemption in FRS 102 not to disclose transactions with wholly owned entities within the group of which it is a member.

20. Controlling party

Millwall Holdings PLC is the immediate parent undertaking of the company and the parent of the only group to prepare consolidated financial statements which include the results of the company. Copies of those group accounts have been delivered to, and are available from, the Registrar of Companies Registration Office, Crown Way, Cardiff CF4 3UZ.

Millwall Holdings PLC is under the control of Chestnut Hill Ventures LLC, a company which is incorporated in the USA. Chestnut Hill Ventures LLC is ultimately controlled jointly by J G Berylson and R A Smith, as Trustee of the Philip dec'd Will Trust.